A bull market will propel a portfolio well ahead of its growth schedule. Depending on where people are in their careers, the bull market could give them the option to reduce risk and coast into their retirement goal. It does not necessarily mean that every person should reduce risk, but anyone approaching retirement should at least do the analysis and consider this option.

WHAT TO DO IN A BEAR MARKET JUST BEFORE RETIREMENT

A bear market can put a portfolio below its projected account value right before retirement. What do you do when this happens? A bear market is not a reason to reduce risk even if it occurs right before retirement. This is also not the time to increase risk because that may put you over your tolerance for risk. Here are five dos and don’ts for dealing with a bear market for people close to retirement:

1. Don’t increase risk. It would be a mistake to increase risk close to retirement in an effort to make up what you lost. Doubling up to catch up does not work.

2. Don’t decrease risk. Stay the course with your portfolio allocation and wait it out. There has never been a bear market that did not recover fully.

3. Try to save more in the final years or months before retirement.

4. You could also work a year or two longer. An extra year or two in the accumulation phase means an extra year or two less in the withdrawal phase. This can increase your retirement savings longevity by more than a decade.

5. If you decide to go ahead with retirement on your planned date, you may have to reduce your spending until a recovery pushes your account value higher. Try spending only the interest and dividend income your portfolio generates. This income is relatively stable even though the portfolio value is temporarily down.